

Tutorial 5

Setup Grading: Gaps, Touch Count, Volume, and Historical Context

A practical framework for ranking trade locations instead of treating every gap or imbalance as equally important.

Module purpose

Prepared from the April 23, 2026 class transcript. The lesson challenged the idea that every fair-value gap is the same and instead graded setups by touch count, volume, price location, and historical context. Educational material only - not investment advice.

Ideal length	Audience	Student output
45-60 minutes	Chart readers who need a stricter quality filter	Setup scorecard + three-zone ranking exercise

Lesson snapshot

What the live conversation was really about

The student treated every fair-value gap as if it were the same. The lesson corrected that. A zone is only as useful as the evidence behind it. The session graded setups by touch count, volume, price location, and historical context. That is a much stronger framework than memorizing a vocabulary word and calling every gap a signal.

This tutorial translates that coaching moment into a setup-grading system students can use on any chart. The aim is simple: rank zones instead of worshipping them. A good setup is supported by structure, participation, and context. A weak setup is just a shape.

Conversation idea	Student version	Why it matters
Grade the setup.	Do not treat every zone as equal.	Ranking keeps weak trades from looking strong.
How many times was it touched?	Repeated interaction can make a level more important.	Market memory matters.
Use volume and price.	Participation must confirm the zone.	A thin area behaves differently from a defended one.
Look at historical context.	Ask whether the level mattered before this morning.	Context separates structure from random intraday noise.

Learning objectives

- Convert gap or imbalance language into a practical grading system.
- Use touch count, volume, price location, and historical context to score a setup.
- Understand that some gaps are continuation signals while others are noise or exhaustion.
- Learn the difference between high-friction zones and fluid zones.
- Build a worksheet that forces the student to defend every setup before trading it.

The four-part grading model

Dimension	What to evaluate	High score example	Low score example
Touch count	How often the level has been respected or revisited.	A weekly or daily zone tested multiple times and still defended.	A fresh intraday line with no prior interaction.
Volume	Whether price moved through the zone with strong or weak participation.	A level built or defended with visible volume expansion.	A level drawn inside thin, low-participation chop.

Dimension	What to evaluate	High score example	Low score example
Price location	Where the zone sits relative to trend and nearby support or resistance.	A pullback into support inside a broader uptrend.	A random line in the middle of a range.
Historical context	Whether the zone mattered before the current session.	A level that aligns with prior daily or weekly structure.	A level that exists only on the smallest chart.

Student rule

A setup should earn its trade. If the student cannot explain why the zone matters in all four dimensions, the default answer is no trade.

Gap taxonomy: not every gap means the same thing

Gap type	Typical behavior	What students should look for
Common gap	Often forms inside a range and may fill quickly.	Low context, lower conviction, and usually less follow-through.
Breakaway gap	Appears as price exits a meaningful pattern or range.	Context plus volume plus trend alignment.
Continuation or measuring gap	Can appear during a strong directional move.	Look for trend confirmation, not automatic mean reversion.
Exhaustion gap	May signal that a move is late and vulnerable to reversal.	Watch for heavy emotion, volume climax, and failure to continue.

Friction versus fluidity

The session used a useful intuition: some areas have friction and some areas are fluid. A friction zone is a place where price spent time, traded volume, and repeatedly interacted. A fluid zone is an area with less overhead or underfoot participation, so price can move faster through it.

Zone type	Usually seen as	Student implication
High-friction zone	Overlapping candles, repeated tests, high volume-by-price.	Expect slower movement, more negotiation, and more false starts.
Fluid zone	Thin prior activity, cleaner air between strong levels.	Expect faster movement once price escapes a friction shelf.

How volume helps

Volume-by-price and simple volume confirmation do not replace the chart. They help explain which price areas attracted commitment and which ones did not. Students should ask: was this level actually defended, or did I only draw it because it looked neat?

A simple scorecard students can use

Metric	0 points	1 point	2 points	3 points
Touch count	No prior test	One test	Two tests	Three or more meaningful interactions
Volume	Thin or unclear	Average	Good confirmation	Strong defense or rejection with clear participation
Location	Middle of noise	Near a minor level	Near a useful level	At a major higher-timeframe level

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Metric	0 points	1 point	2 points	3 points
History	Only visible intraday	Weak prior context	Daily context	Weekly plus daily context

Interpretation: 0 to 4 points = weak setup, 5 to 8 = usable but secondary, 9 to 12 = high-priority setup that deserves focused review. The score does not create a trade by itself. It simply tells the student how much attention the zone has earned.

Common student errors

- Calling every imbalance a trade setup without asking whether it mattered before today.
- Ignoring volume and then being surprised when a level fails immediately.
- Using the smallest chart to assign importance to a zone that has no daily or weekly support.
- Treating every gap as a fill trade instead of asking what kind of gap it is.
- Confusing familiarity with evidence: if the setup has a name, students sometimes assume it has quality.

Student assignment

Three-zone ranking exercise

Pick one chart and mark three candidate setups. Score each one across touch count, volume, location, and historical context. Rank them from strongest to weakest. The student must defend the ranking in writing and explain why the weakest zone should be ignored.

References and suggested outside reading

- [1] StockCharts ChartSchool, Gaps and Gap Analysis.
<https://chartschool.stockcharts.com/table-of-contents/chart-analysis/gaps-and-gap-analysis>
- [2] StockCharts ChartSchool, Gap Trading Strategies.
<https://chartschool.stockcharts.com/table-of-contents/trading-strategies-and-models/trading-strategies/gap-trading-strategies>
- [3] StockCharts ChartSchool, Volume-by-Price.
<https://chartschool.stockcharts.com/table-of-contents/technical-indicators-and-overlays/technical-overlays/volume-by-price>
- [4] StockCharts ChartSchool, TA 101 - Part 10: Volume Confirmation.
<https://chartschool.stockcharts.com/table-of-contents/overview/technical-analysis-101/ta-101-part-10>
- [5] CMT Association, 2026 CMT Program Guide.
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